

Prepared for:

CITY OF SAN MATEO



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2022

By:

URBAN FUTURES, INC.

Analytics & Compliance Group



Affected Issuance:

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

TABLE OF CONTENTS

INTRODUCTION	4
I. BACKGROUND	4
II. OBJECTIVE.....	4
III. CUSIP NUMBERS.....	5
FINANCIAL INFORMATION & OPERATING DATA	6
I. FINANCIAL STATEMENTS	6
II. PRINCIPAL OUTSTANDING AND ADDITIONAL INDEBTEDNESS.....	6
III. RESERVE FUND	7
IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS.....	8
V. LARGEST USERS	9
VI. STATEMENT OF REVENUES, EXPENSES & CHANGES IN FUND NET POSITION.....	9
VII. DEBT SERVICE COVERAGE.....	10
VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES	11
IX. CLAIM STATUS	11
X. SIGNIFICANT EVENTS.....	11

INTRODUCTION

I. BACKGROUND

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014, the City of San Mateo (“City”) issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A (“2014A Bonds”). Proceeds from the sale of the 2014A Bonds were used to: (a) refund the City’s outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City’s municipal sewer enterprise; and (c) pay costs of issuance of the 2014A Bonds. Please see the Official Statement for the 2014A Bonds as provided online at the Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) document repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture for the 2014A Bonds.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015, with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Continuing Disclosure Annual Report (“Annual Report”) is being provided by the Dissemination Agent for distribution to the MSRB’s EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. (“UFI”) at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or UFI. The City and UFI make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or UFI, and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and UFI shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or UFI.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the Fiscal Year ended June 30, 2022, will be posted to the EMMA document repository upon availability.

II. PRINCIPAL OUTSTANDING AND ADDITIONAL INDEBTEDNESS

The table below presents a summary of the Sewer Enterprise's principal amounts outstanding, as of June 30, 2022, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds Outstanding as of June 30, 2022	
Bond Issue/Obligation	Amount Outstanding as of June 30, 2022
2014A Sewer Revenue Bonds	\$28,090,000
2019 Wastewater Revenue Bonds (Clean Water Program)	\$236,180,000
2021A Wastewater Revenue Refunding Bonds	\$14,265,000
2021B Wastewater Revenue Notes (Financing Agreement)	\$271,565,000

Source: Urban Futures, Inc. and City of San Mateo.

For a detailed description of the Sewer Enterprise's bonds and parity obligations, please see the Note 7 to the Basic Financial Statements, starting on Page 94, of the City's audited financial statements for the fiscal year ended June 30, 2022, separately posted to the EMMA document repository. The following is a description of additional indebtedness payable from revenues of the Sewer Enterprise that is not otherwise described in Note 7 to the Basic Financial Statements:

On November 5, 2020, the City entered into an agreement with the Authority and the Environmental Protection Agency ("EPA") for a loan up to \$210,339,360 under the EPA's Water Infrastructure Finance and Innovation Act ("WIFIA") loan program. For a description of the purpose and terms of this parity obligation, please refer to the "Notice of Incurrence of Financial Obligation as of 11/05/2020" posted on MSRB's EMMA document repository for the 2014 Bonds (<https://emma.msrb.org/P21464793-P21136586-P21549429.pdf>).

On December 17, 2020, the City entered into an agreement with the Authority and the EPA for a loan up to \$85,140,000 under the WIFIA loan program. For a description of the purpose and terms of this parity obligation, please refer to the "Notice of Incurrence of Financial Obligation as of 12/17/2020" posted on MSRB's EMMA document repository for the 2014 Bonds (<https://emma.msrb.org/P21664457-P21280983-P21709594.pdf>).

As of June 30, 2022, no amounts have been drawn down from the WIFIA loans. The City expects to draw down the entire amount of the WIFIA loans in or around August 1, 2025. Proceeds from WIFIA loans, when disbursed, will be used to repay the City's obligations under the 2021B Notes.

On May 14, 2022, the City and the District entered into an agreement with the California State Water Resources Control Board ("SWRCB") for a State Revolving Fund ("SRF") loan up to \$137,456,000. For a description of the purpose and terms of this parity obligation, please refer to the "Notice of Incurrence of Financial Obligation as of 5/14/2022" posted on MSRB's EMMA document repository for the 2014 Bonds (<https://emma.msrb.org/P11603768-P11237012-P11660064.pdf>). As of June 30, 2022, no amounts have been drawn down from the SRF loan.

III. RESERVE FUND

The table below presents the balance in the Sewer Enterprise Reserve Fund, as of June 30, 2022, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2022
2014A Sewer Revenue Bonds	No Reserve
2019 Wastewater Revenue Bonds (Clean Water Program)	No Reserve
2021A Wastewater Revenue Refunding Bonds	No Reserve
2021B Wastewater Revenue Notes (Financing Agreement)	No Reserve

Source: City of San Mateo.

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners' average flow and number of accounts during Fiscal Year 2022.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2022		
	Average Daily Flow (mgd) ⁽¹⁾	Customer Accounts/Parcels ⁽²⁾
San Mateo	10.6	28,359
Foster City	2.1	7,126
CSCSD	0.3	1,432
Belmont ⁽³⁾	-	139
Hillsborough	0.9	2,205
Unincorporated County ⁽⁴⁾	-	-
	13.9	39,261

(1) Represents Fiscal Year 2022 Average Daily Flow amounts for San Mateo, Foster City, CSCSD, Belmont, Hillsborough and Unincorporated County.

(2) Represents the total number of parcels served by the System for San Mateo, and the total number of customer accounts served by the System for Foster City, CSCSD, Belmont, Hillsborough, and Unincorporated

(3) Insignificant average daily flow.

(4) Insignificant

Source: City of San Mateo.

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2022.

CITY OF SAN MATEO Sewer Enterprise Largest Users - FY 2022				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
Essex Hillsdale Garden Apartments	48,982	2.09%	\$1,070,819	1.60%
HSC Property Owner LLC	22,767	0.97%	711,086	1.07%
ASN Bay Meadows I LLC & Bay Meadows II LLC	14,304	0.61%	581,140	0.87%
County of San Mateo	19,484	0.83%	525,146	0.79%
AIMCO Scotchollow Apartments LP	10,823	0.46%	441,449	0.66%
Essex Portfolio LP	16,629	0.71%	438,780	0.66%
SI VII LLC	9,890	0.42%	393,606	0.59%
Sutter Bay Hospitals	13,486	0.58%	378,039	0.57%
Spieker Richard Tod TR and Spieker Catherine Reilly TR	9,769	0.42%	355,260	0.53%
Lake Pines LP	10,750	0.46%	336,236	0.50%
Largest Users Total	176,884	7.56%	\$5,231,561	7.84%
All Users Total	2,339,634	100.00%	\$66,759,455	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES & CHANGES IN FUND NET POSITION

For the total actual Revenues and Net Revenues generated by the Sewer Enterprise during the subject fiscal year, please see the "Statement of Revenues, Expenses and Changes in Net Position – Proprietary Funds – Sewer Fund," in the City's audited financial statements for the fiscal year ended June 30, 2022, separately posted to the EMMA document repository.

VII. DEBT SERVICE COVERAGE

The table below presents a five-year historical summary of the Sewer Enterprise's annual net revenues, expenses, and debt service coverage ratios.

CITY OF SAN MATEO Sewer Enterprise Historical Revenues, Expenses and Debt Service Coverage					
	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022
Revenues					
Service Charges	\$ 41,289,164	\$ 51,296,306	\$ 58,190,132	\$ 67,358,675	\$ 71,355,379
Connection Fees	184,830	420,362	301,556	603,615	135,740
Impact Fees	250,523	256,453	235,364	205,188	73,908
Other	13,031	4,321	14,715	1,375	98,330
Subtotal	\$ 41,737,548	\$ 51,977,442	\$ 58,741,767	\$ 68,168,853	\$ 71,663,357
Interest Income	189,435	1,379,769	5,845,282	851,242	(602,477)
Miscellaneous	-	4,480	-	1,375	-
Total Revenues	\$ 41,926,983	\$ 53,361,691	\$ 64,587,049	\$ 69,021,470	\$ 71,060,880
Expenses					
Cost of Sales and Services	\$ 19,347,405	\$ 20,804,894	\$ 19,928,516	\$ 21,032,300	\$ 21,071,196
Administration	2,522,561	2,541,848	2,899,304	3,229,417	3,337,533
Total Expenses	\$ 21,869,966	\$ 23,346,742	\$ 22,827,820	\$ 24,261,717	\$ 24,408,729
Net Revenues	\$ 20,057,017	\$ 30,014,949	\$ 41,759,229	\$ 44,759,753	\$ 46,652,151
Debt Service					
2011A Bonds	\$ 2,682,408	\$ 1,688,808	\$ 1,688,708	\$ 1,684,283	-
2014A Bonds	1,344,365	2,294,965	2,290,315	2,293,440	2,293,815
State Street Line of Credit	364,226	659,320	-	-	-
2019 Bonds (Financing Agreement)	-	-	7,206,940	10,947,250	10,947,250
2021 WIFIA Loan - WWTP ⁽¹⁾	-	-	-	-	-
2021 WIFIA Loan - Basins 2 & 3 ⁽¹⁾	-	-	-	-	-
2021A Bonds	-	-	-	-	371,204
2021B Notes (Financing Agreement)	-	-	-	-	7,920,646
2022 SWRCB Loan (Financing Agreement) ⁽²⁾	-	-	-	-	-
Total Debt Service	\$ 4,390,999	\$ 4,643,093	\$ 11,185,963	\$ 14,924,973	\$ 21,532,915
Debt Service Coverage	4.57	6.46	3.73	3.00	2.17
Net Surplus	\$ 15,666,018	\$ 25,371,856	\$ 30,573,266	\$ 29,834,780	\$ 25,119,236

(1) As of June 30, 2022, no amounts have been drawn down from the WIFIA loans. The City expects to draw down the entire amount of the WIFIA loans in or around August 1, 2025 for the purpose of repaying the City's obligations under the 2021B Wastewater Revenue Notes (Financing Agreement).

(2) For the 2022 SWRCB Loan (Financing Agreement), interest is capitalized until February 28, 2025, and no principal payments are due until August 31, 2025, when the WIFIA Loan proceeds will be used to repay the City's obligations under the 2021B Wastewater Revenue Notes (Financing Agreement).

Source: Urban Futures Inc., with information from the City of San Mateo, Annual Comprehensive Financial Report.

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2022, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2022, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on the MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>